

SIZE MATTERS

	BSE SMALL CAP	BSE SENSEX
2019	-7.2%	13.8%
2020	31.2%	15.6%
2021	61.3%	21.6%
2022 (YTD)	-2.04%	-0.5%

Source: BSE India; returns are for calendar year

FLIPSIDE OF SMALL CAPS

- **Risky:** Small-cap companies are more prone to risks, especially during economic downturns
- **Highly volatile:** Small-cap schemes tend to fall steeply during volatile markets
- **Less researched:** The very high number of small cap companies makes it difficult for analysts to research them
- **Tactical investing:** Riding the small-cap run often needs tactical understanding of when to invest in them and when to exit
- **No dividends:** They often do not pay dividends, and can't be relied on for income

lot that can be understood about how small cap and large-cap companies fare (see *Size Matters*). The past four years have seen cycles of growth as well as falls on the back of the Covid-19 pandemic, which further provides insights into how large and small companies fare in different market cycles. During market upsides, the returns from smaller companies tend to be much higher than that of the large companies and their fall is equally steeper when markets fall.

ROLE IN PORTFOLIOS

The role of large- or small-caps in a portfolio is not binary, as even large-cap funds would have some exposure to small-cap stocks in their portfolios. However, adding small-caps in one's portfolio is a matter of tactical decision in portfolio creation as well as the risks that an investor can take when investing in them. Investors with already well-diversified equity exposure can allocate funds into small-cap mutual funds to diversify based on market capitalisation to give an overall fillip to their portfolio returns.

Investors also need to have patience and the ability to take risks (see *Flipside of Small Caps*) when adding small-cap funds to their equity allocation. The risks are high, but so is the returns potential when investing in these funds. Moreover, the universe of small-cap funds has many schemes to choose from and each of them follows a different investment process and stock selection. It would do investors good to understand how to select funds to invest, the basis on which they shortlist stocks and their investment methodology with small-cap companies. Likewise, it is not just about stock selection; it is also about increasing and decreasing allocation to sectors and select stocks that impact the performance of mutual fund schemes focusing on the small-cap segment. These funds are suitable for experienced investors, who, depending on their profile, could have a 15-20 per cent allocation to small-caps within the equity component of their investment portfolios. They should also be aware that there is very high risk involved in this category of funds in the quest for high returns.

A GOOD AND STABLE BUSINESS MODEL RUN BY COMPETENT MANAGEMENT IS THE HALLMARK OF SMALL BUSINESSES THAT FIND THEIR WAY INTO MOST SMALL-CAP FUNDS

When choosing a fund in this category, go further into the fund's portfolio to understand the kind of companies in which it has invested and the way the fund selects stocks. Often, investing in this category calls for mental resilience to stay invested for a decade or more. Investing in these funds through the SIP (systematic investment plan) route exists, but it is also a good tactic to make lump sum investments whenever the market falls and there is an opportunity to ride a growth cycle.

Choose a fund that adopts a robust stock selection mechanism and updates its process of stock selection to align with changing economic conditions. Funds that have a history of having fared well over different market cycles is a plus when shortlisting one to invest in. Fund managers would factor in economic conditions, new government policies and potential that different businesses have to invest accordingly and produce results. Think of a long-term SIP when investing in this category and outsource the process of choosing small businesses that have the potential for wealth creation. ■

–Narayan Krishnamurthy